

Costco Q4 2025 Earnings

Blind Sentiment & Directional Score: Outlook/guidance only

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Outlook/guidance only** as the **ONLY** report content. The other sections (the reported financial results, the earnings call Q&A) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Costco Wholesale Corporation (COST)
Report	Fiscal Q4 2025
Release date	Thursday 25 September 2025, after close
Earnings call	5:00pm ET
Source	Earnings call transcript
Read mode	cold; management outlook/guidance only, no reported results, no Q&A, no price chart
Time to produce	30 minutes

Source material (read **ONLY** this)

Forward guide (assigned source: outlook/guidance only)

- **Costco gives no formal numerical earnings guidance.** The forward-looking content below is management's qualitative outlook.
- *"We plan to open another 35 warehouses in fiscal year 2026, of which five are relocations"* (Ron Vachris, CEO).

- “We’d expect 2026 to have capital expenditure that would grow over 2025 and probably a little bit higher than sales again” (Gary Millerchip, CFO, citing warehouse growth, remodels, Kirkland Signature manufacturing capacity and technology).
- Tariffs and pricing: “We are taking a very offensive approach... The last effect would be we pass on price. If we do that, we are going to be the last one to go up” (Vachris).
- Inflation: non-foods inflation running “low single digit”, with tariff impacts described as fluid (Millerchip). Continued investment planned in personalised digital messaging, the mobile app and a unified data platform.

Your scoring: fill in below, then seal

1 Sentiment score

Score: +0.10

Rationale. Steady expansion and a disciplined pricing stance, but with no numerical guidance there is simply nothing here to reprice the shares against.

2 Directional signal

Signal: HOLD

Rationale. No formal guide, no surprise: the source cannot support a directional bet. HOLD.

3 Structured summary

- **What the source shows.** Expansion continues at 35 warehouses with capex growing modestly ahead of sales.
- **What the source cannot show.** No results and no numbers, making this the thinnest of the three source conditions for Costco.
- **Expectations bar.** Nothing here differs from what the market already assumes about Costco.
- **Conviction.** Deliberately low conviction: absence of guidance is the defining feature.

4 Evidence quotes

1. **Costco gives no formal numerical earnings guidance.** The forward-looking content below is management’s qualitative outlook.
2. “We plan to open another 35 warehouses in fiscal year 2026, of which five are relocations” (Ron Vachris, CEO).
3. “We’d expect 2026 to have capital expenditure that would grow over 2025 and probably a little bit higher than sales again” (Gary Millerchip, CFO, citing warehouse growth, remodels, Kirkland Signature manufacturing capacity and technology).

— SEALED —

Overnight move and call verification

COST close, 25 September 2025 (release day)	\$943.31
COST open, 26 September 2025	\$925.55
Overnight move	−1.88%

Call verification

- HOLD band test: $|-1.88\%| < 2.00\%$, inside the band, so HOLD territory.
- Sign test: The move is inside the band, so the correct directional call is **HOLD**.
- Score given vs. correct call: signal was **HOLD**, correct call **HOLD**, so **CORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	−1.88%
D+1 close	−2.90%
D+3 close	−1.87%
D+5 close	−2.81%
D+10 close	−0.04%
D+20 close	−0.13%